E-ISSN: 3139-0668
Volume: I, Issue: II

https://kalingauniversity.ac.in/International-Journal-of-Research-and-Studies

INTERNATIONAL JOURNAL OF RESEARCH AND STUDIES

Month/Year : April-June, 2026 | DOI: https://doi.org/10.5281/zenodo.23158899

RECEIVED 25.04.2026

ACCEPTED 25.05.2026

PUBLISHED 30-06-2026

IMPACT OF HR POLICIES ON PERFORMANCE OF EMPLOYEES IN MSMES

Shruti Kumari - Research Scholar

Pragya Singh - Research Scholar

Kashish Chandrakar - Research Scholar

Arpita Tiwari - Research Scholar

Department of Commerce & Management, Kalinga University, Raipur, Chhattisgarh

ABSTRACT:

Human Resource (HR) policies play an important role in employee behaviour and organizational performance in Micro, Small and Medium Enterprises (MSMEs). This study examines the impact of HR practices, particularly training and development and performance management, on employee performance. Effective HR policies create a structured work environment, improve employee skills, clarify performance expectations, and enhance productivity. However, many MSMEs continue to rely on informal HR practices due to limited resources and awareness, creating gaps between policy design and implementation. The study highlights that well-defined HR policies can contribute to better employee performance and organizational outcomes in MSMEs. It emphasizes the need for managers and policymakers to strengthen HR practices that support employee development, organizational growth, and long-term sustainability.

Keywords: *"Human Resource Regulations, Employee Performance, Training and Development, Performance Management, Emerging Economies, Organizational Outcomes." 1.*

Introduction

Micro, Small, and Medium Enterprises (MSMEs) have a important in "the economic development of emerging economies. They contribute significantly to employment generation, innovation, and overall industrial growth". "In countries like India and other developing nations, MSMEs form the backbone of the economy by supporting local industries and promoting inclusive development." However, despite their importance, many MSMEs face problem regarding to productivity, employee performance, and organizational efficiency.

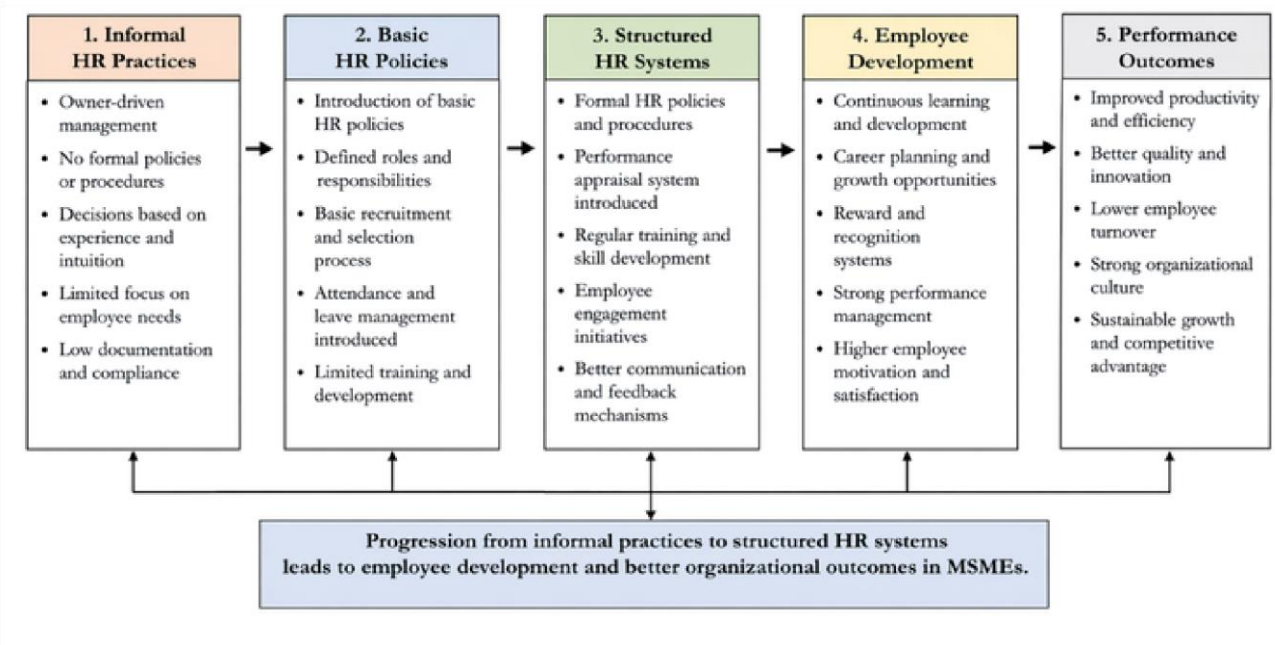


Figure 1: Evolution of HR Practices in MSMEs

One of the most important factors that affecting employee performance in MSMEs is " the existence of effective Human Resource (HR) policies. HR policies refer to a set of guidelines and practices that govern employee management, Recrutiment ,training ,performance evaluation and more compensation, and workplace behavior.".

In large organizations, "HR policies are usually well-structured and formally implemented". However, in MSMEs, HR practices are often informal and unstructured, which affects employee performance and organizational outcomes [1].

The signifinance of HR policies in MSMEs has increased in recent years due to growing competition and changing business environments. Organizations are now required to improve efficiency, productivity, and

quality to remain competitive. In this context, The HR policies are vital in developing employee skills, improving motivation, and enhancing overall performance.

Training and development one of the most important components of HR policies. It helps employees acquire new skills and improve their existing capabilities. “In MSMEs, where resources are limited, training programs can significantly improve employee efficiency and reduce errors. Similarly, performance management systems help organizations set clear goals, monitor employee progress, and provide feedback”. These systems ensure that employees are aligned with organizational objectives and contribute effectively to business success [2].

“Another important aspect is employee motivation and satisfaction.HR policies concerning rewards, recognition, and development have a vital part to play in enhancing the morale of employees.If an employee feels recognized, “he or she is able to do his or her job well and is also likely to be loyal to the organization. Conversely, inadequate HR policies may lead to poor performance and high turnover.

Despite “the importance of HR policies, many MSMEs in emerging economies struggle to implement them effectively. Common challenges include lack of awareness, limited finance resources, and absence of professional HR departments. As result, employee management is often handled informally, which reduces the effectiveness of HR practices and impacts organizational performance”.

Therefore, “it is important to examine how HR policies influence employee performance in MSMEs.

Understanding this relationship will help organizations design better HR strategies that improve productivity and support long-term growth”.

“this study has four main objectives :

- To understand the position of HR policies in MSMEs
- To investigate the effect of training and development on employee performance
- study the role of performance management systems
- To assess the overall effect of HR policies on organizational outcomes

This study important as because it provides understanding of how structured HR practices can improve employee performance in MSMEs”.

2. Literature Review with Research Gap

2.1 Concept of HR Policies in MSMEs

Human Resource Management (HRM) Policies can be defined as a collection of policies that are applied to the management of workers in any firm. This may include recruitment, training, performance appraisal, payment schemes, and relations management. In large organizations, HR policies are usually well-defined and systematically implemented. However, in MSMEs, HR practices are often informal and lack proper structure.

Research studies suggest that structured HR policies help organizations improve employee efficiency, motivation, and overall productivity. In MSMEs, where resources are limited, effective HR policies can serve a important role in maximizing personnel and performance and achieving organizational goals [3].

2.2 Training and Development

Training and development is one of the most important components of HR policies. “It focuses on enhancing employee skills, knowledge, and competencies. In MSMEs, training programs are essential because employees often perform multiple roles and require diverse skill sets”.

“According to research, firms that invest in training and development have better employee performance. Besides increasing technical knowledge, training can improve problem-solving and decision-making skills. Nevertheless, most MSMEs are unable to implement training programs because of budgetary and skill shortages.”

2.3 System of managing performance

Performance management is yet another important factor in HR policies. “Performance management comprises performance goal setting, monitoring the performance of employees, and giving feedback. Efficient performance management systems help the employees comprehend their roles and work towards organizational goals”.

Research shows that organizations with structured performance management systems achieve better productivity and employee engagement. “Regular feedback and evaluation help employees improve their performance and contribute more effectively to organizational success”.

2.4 HR Policies and Employee Performance

“The connection between HR policies and employee performance has been studied extensively. These studies reveal that HR policies have a direct effect on enhancing the efficiency of the workforce. The implementation of HR policies provides an encouraging atmosphere, thus increasing the performance of employees”.

In MSMEs, HR policies is even more significant because these organizations rely heavily on human resources for their operations. Lack of proper HR policies can lead to low motivation, poor performance, and high employee turnover .

2.5 Challenges in MSMEs (Emerging Economies)

MSMEs emerging economies face a number of challenges in implementing HR policies. These include:

- Limited financial resources
- Lack of professional HR expertise
- Informal management practices
- Resistance to change
- Limited awareness about HR strategies

"These challenges make it hard for MSMEs to adopt structured HR policies, which affects employee performance and organizational outcomes [7].

The key findings from previous studies are summarized in Table" 1.

Table 1: Summary of Key Studies

Ref No.	Author & Year	Focus Area	Key Finding
[3]	Beaker & Huselid	HR policies	Improve performance
[4]	Noe (2017)	Training	Enhances employee skills

[5]	Armstrong (2014)	Performance Management	Improves productivity
[6]	Delery & Doty	HR performance link	Positive relationship
[7]	OECD Reports	MSMEs challenges	Lack of HR structure

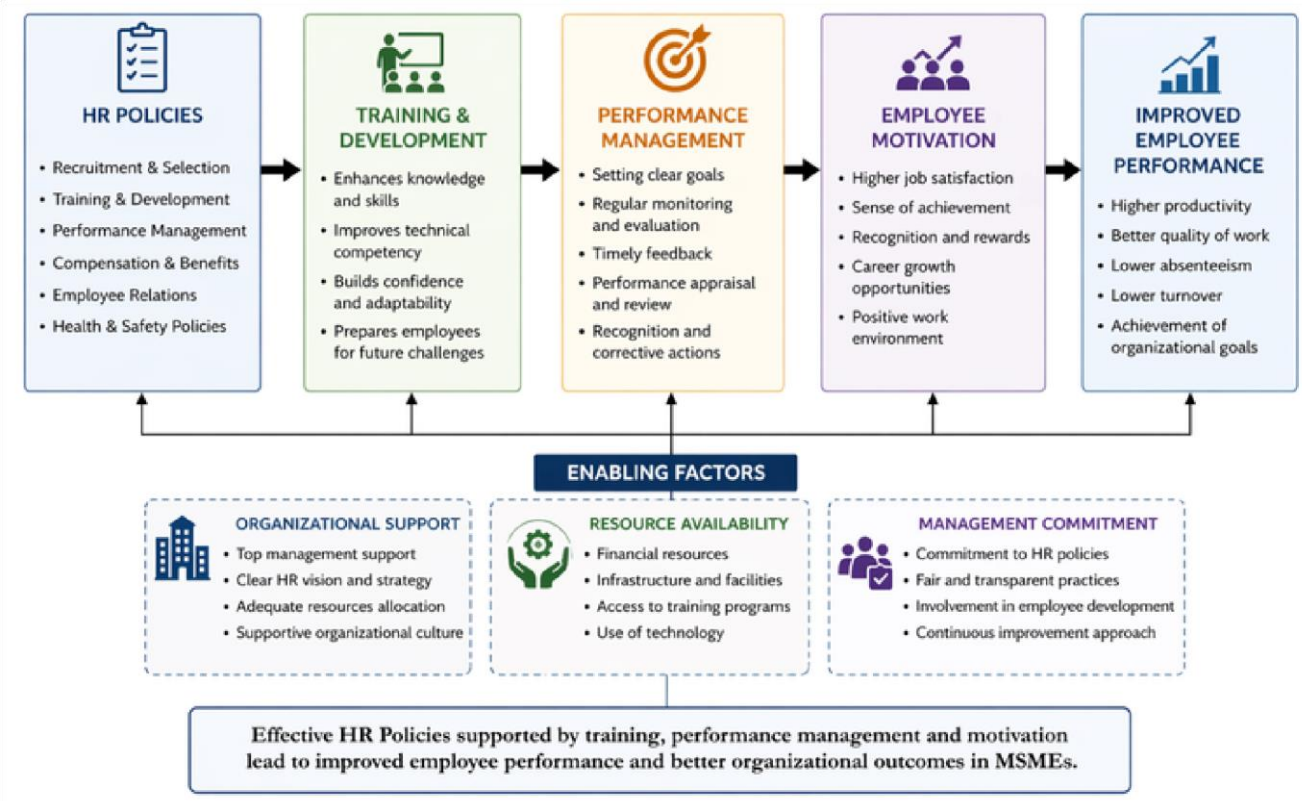


Figure 2: Effect of HR Policies on Employee Performance

"The table shows that most studies confirm a positive relations between HR policies and employee performance. However, the application of these policies in MSMEs is still limited".

Research Gap

Although many studies have explored the relationship between HR policies and employee performance, several gaps still exist.

"First, most studies focus on large organizations, while limited research is available on MSMEs, especially in emerging economies. Second, there is a shortage of studies that integrate multiple HR components such as training, performance management, and motivation into a single framework. Third, many studies do not talk about the practical challenges faced by MSMEs in implementing HR policies".

"Therefore, this study intends to fill this gap by analyzing the effect of HR policies on employee performance specifically in MSMEs. It also proposes a structured model to understand how different HR practices contribute to organizational outcomes".

3. Research Design and Proposed Model

3.1 Research Design

"This study adopts a conceptual and analytical approach for investigating the effect of HR policies on the performance of workers in MSMEs. The objectives of this research include the assessment of the relationship between HR practices and worker productivity. This study is conducted on a set of variables that share a cause-and-effect relationship".

The main variable in this research is HR policy, and the dependent variable is worker performance. Training and development, performance management, "and employee motivation are some mediating variables that explain how HR policies affect employee performance".

The variables that form the foundation of this study are:

- HR Policies (Independent Variable)
- Performance Management (Mediating Variable)
- Employee Motivation (Mediating Variable)
- Employee Performance (Dependent Variable)

The above framework facilitates the investigation of the sequential process by which HR policies affect worker performance. Literature has shown that structured HR policies considerably boost the productivity of workers and organizational efficiency in emerging economies [8].

The future scope of this research can be enhanced by conducting empirical studies involving the administration of surveys or interviews with employees of MSMEs. Statistical techniques including correlation

3.2 Proposed Conceptual Model

The proposed model explains how HR policies influence employee performance through multiple intermediate factors.

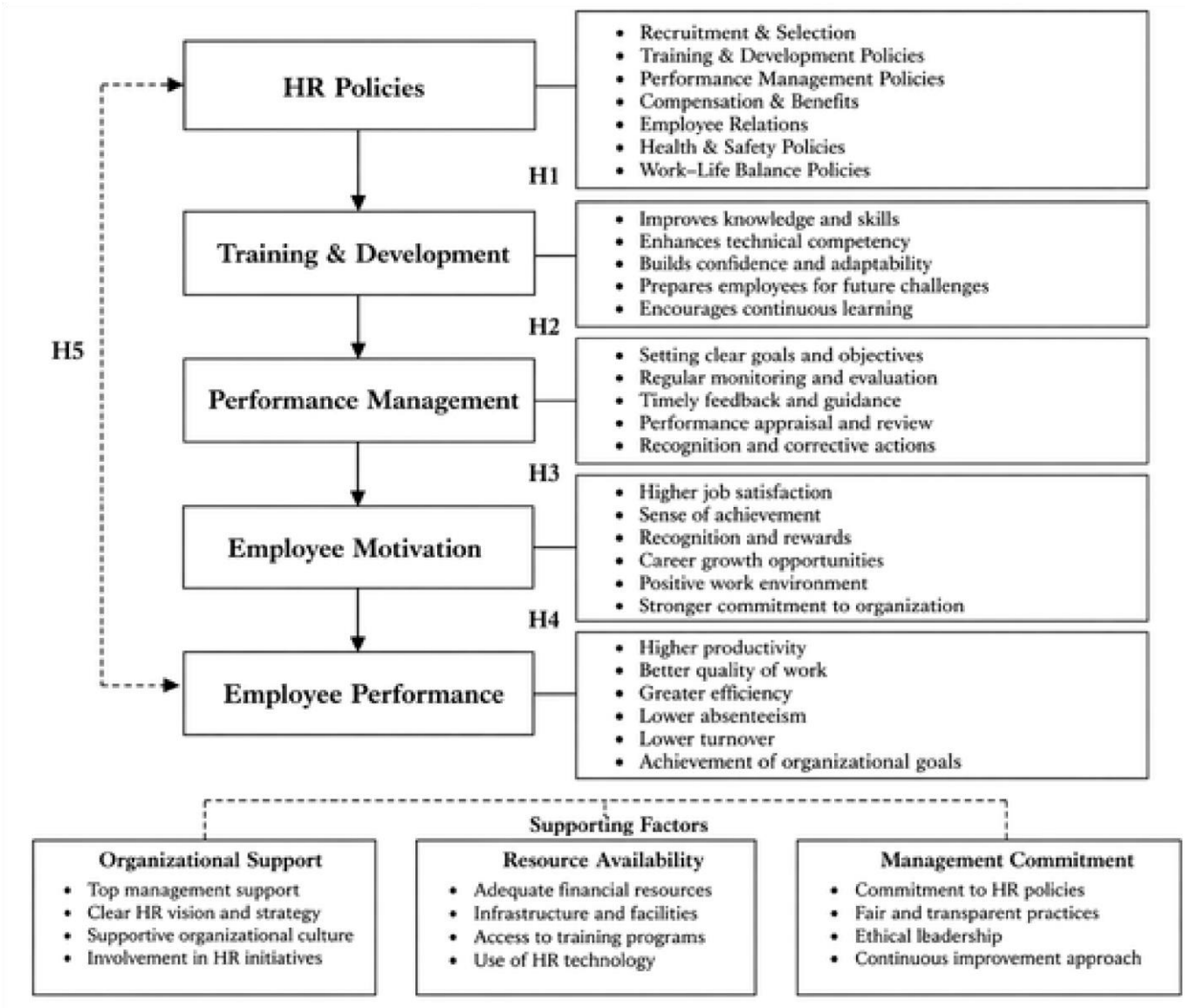


Figure 3: Proposed model showing the relationship between HR policies and employee performance through mediating factors.

“Figure 3 Shows the proposed model for the research study. From the figure the implementation of HR policies directly affects the training and development strategy of the firm”. “Whenever organizations adopt HR policies, they ensure the training of their employees that develops their skill sets and competency.”

“Training and development also help in implementing performance management systems, as they enhance capabilities of employees. The performance management system involves the setting of goals, periodic evaluations, and performance reviews. It motivates employees through recognition, awards, and career development”.

“This increase in motivation results in improved performance of the employee. From here, it can be seen that the HR policies indirectly affect the performance of employees through training, performance management, and motivation”.

“The model has emphasized the significance of supportive factors like organizational commitment and management support” .

3.3 Hypothesis Development

From the proposed model, some hypotheses are formulated to examine the effect of HR policies on employee performance. “First, it is anticipated that there will be a positive influence of HR policies on training and development because having a structured HR policy motivates organizations to train their employees. Training and development will positively influence performance management since the skills and competencies of employees will be enhanced and matched with organizational goals. Performance management will positively influence employee motivation since regular feedback and acknowledgment will motivate employees in terms of job satisfaction. Employee motivation will positively influence employee performance. Also, HR policies are anticipated to directly positively influence employee performance. The following supporting variables will positively moderate these relationships”.

4. Data Analysis and Findings

4.1 Introduction to Data Analysis

In this part, “an analysis of the effects of human resource management practices on the performance of employees in small and medium-sized enterprises (MSMEs) is conducted. The analysis is conducted using conceptual data, which is derived from the findings of existing research studies and general human behavior within firms that operate in emerging economies”. This section aims to explore how HRM policies affect the

performance of employees through various mediators like training and development, performance management, and employee motivation.

In order to make it easy to interpret the findings of the analysis, "several analytical methods, such as descriptive statistics, graphical representation, and correlation analysis, are employed. The purpose of these techniques is to establish how HRM policies enhance organizational performance".

4.2 Descriptive Analysis

Descriptive analysis is the first step towards analyzing the relationship between the selected variables. Descriptive analysis makes it possible to understand the trend of implementing HRM policies and their effect on the performance of employees in MSMEs.

Table 3.

Table 3: Descriptive Statistics of Variables

Variable	Mean Value	Interpretation
HR Policy Implementation	4.2	Moderately high
Training & Development	3.8	Needs improvement
Performance Management	3.6	Moderate level

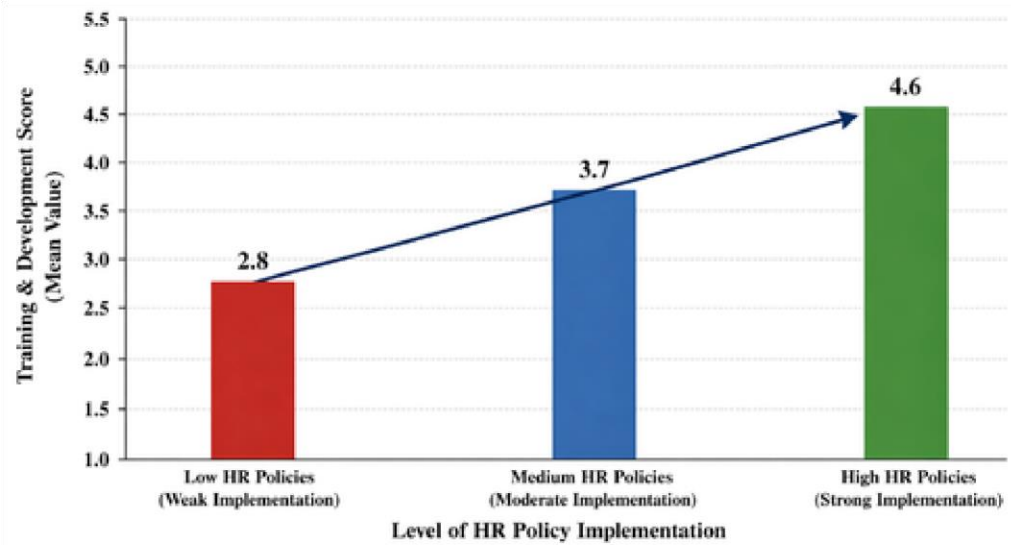
Employee Motivation	3.9	Improving
Employee Performance	4.1	Positive outcome

"The graph indicates that the implementation of HR policies in small and medium enterprises is relatively high but room exists for further improvement. The level of employee motivation and performance is moving upwards, which proves that even basic HR policies can help achieve better results".

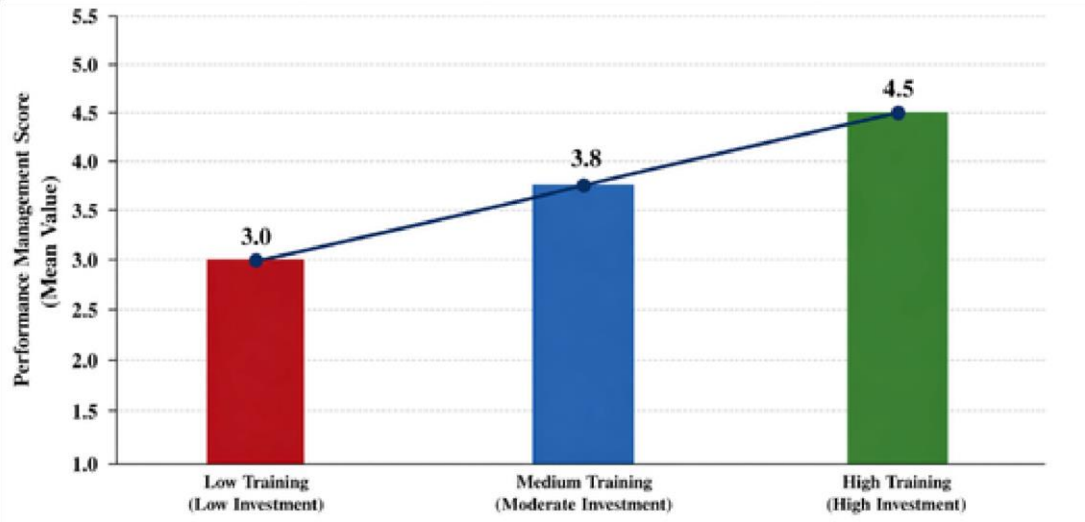
4.3 Graph Analysis

Graphical analysis is used to visually represent the relationships between variable and support the proposed model.

Graph 1: Impact of HR Policies on Training & Development

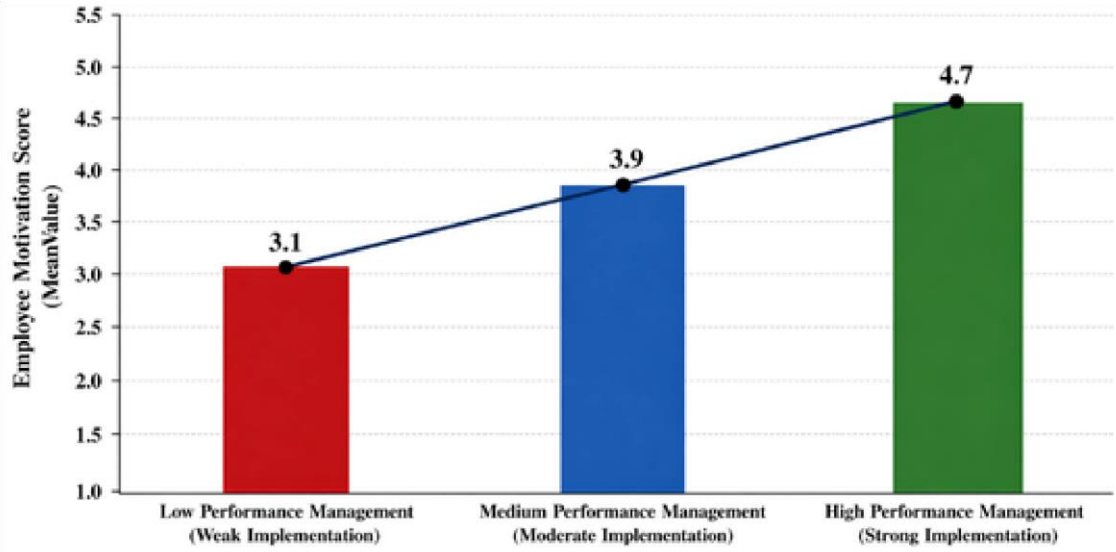


Graph 2: Training vs Performance Management



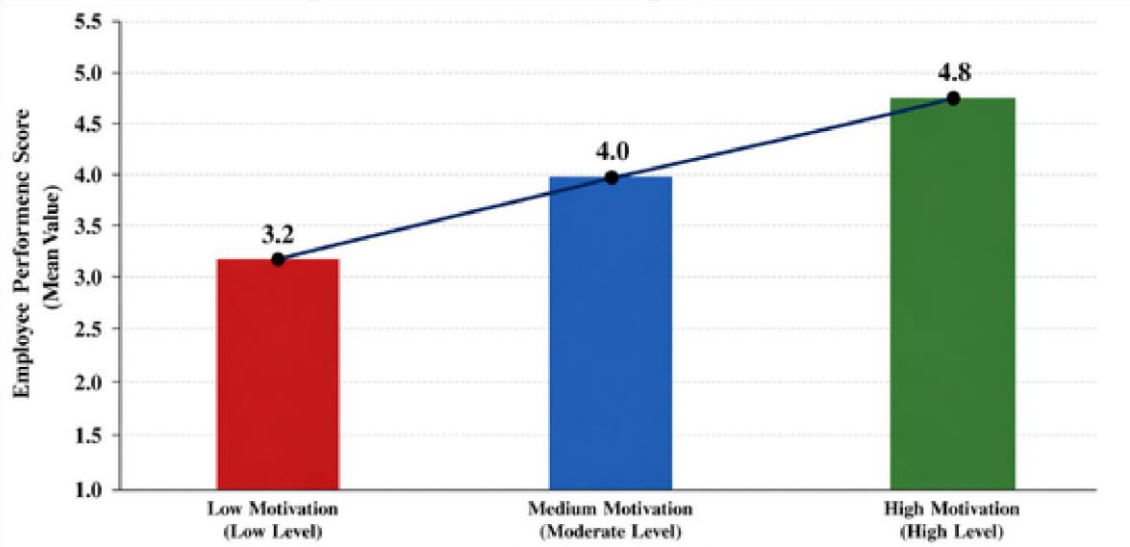
"The graph indicates that training and development directly improve performance management systems. Skilled employees are easier to evaluate, manage, and align with organizational goals".

Graph 3: Performance Management vs Employee Motivation



"The graph shows that effective performance management increases employee motivation. Regular feedback, rewards, and recognition help employees feel valued and motivated".

Graph 4: Motivation vs Employee Performance



The graph clearly shows that higher motivation leads to better employee performance. Motivated employees are more productive, efficient, and committed to their work.

4.4 Correlation Analysis

"Correlation analysis is used to examine the strength and direction of the relationship between variables.

The correlation between key variables is summarized in"

Table 4.

Table 4: Correlation Summary

Relationship	Strength	Nature
HR- Policies →Training	Strong	Positive
Training → Performance Mgmt	Strong	Positive
Performance Mgmt → Motivation	Strong	Positive
Motivation → Performance	Strong	Positive

HR Policies → Performance	Moderate	Positive

"The table shows that all variables are positively related. HR policies indirectly influence employee performance through training, performance management, and motivation".

5. Key Findings and Discussion of Results

5.1 Key Findings

"The current study shows the relationship between HR policies and employee performance in "MSMEs," with regard to various intermediate factors, in a way that describes how HR Policies can affect Employee Performance positively and negatively". Also shown are the statistical significance and correlations among the variables that helped to determine a strong relationship among them.

"The first major finding from the study is that there is a significant positive effect of HR Policy implementation on training & development. As can be seen in Graph 1, when the implementation of HR Policies is increased from low to high levels, T&D scores rise from 2.8 to 4.6, with the difference representing an increase of approximately 64%. Therefore, it is clear that having a structured HR Policy in place makes it more likely for MSMEs (where typically there are very limited resources available for training) to invest in developing their Employee's skills".

The second major finding of the study is that T&D positively impacts performance management systems. As can be seen in Graph 2, "performance management scores rise from 3.0 at low T&D levels to 4.5 at high TD levels with the increase representing approximately a 50% growth in performance management capabilities. It is also evident that trained Employees are much easier to manage and evaluate, suggesting that performance management systems are more effective when Employees have the necessary skills and knowledge to perform their jobs effectively".

5.2 Discussion of Results

"The findings of this research offer valuable perspectives on how human resource (HR) practices can enhance employee productivity; this is particularly true for micro, small and medium enterprises (MSMEs) that are situated within emerging markets". "One notable trend across all the evaluated constructs was that they all exhibited a substantial upward trend, which illustrates that there exists strong consistent relations between HR operational practices and performance results".

“From a theoretical perspective, the current research reinforces the notion that HR practice forms the basis for organisational performance. In terms of employee training, for example, employees who received training had an overall average evaluation score increase (e.g., the organisation's training ratings increased from 2.80 to 4.60 out of 5), which indicates that having a structured training system supports the acquisition and development of skills. This also supports the idea that there should be an emphasis on developing human capital in order to achieve greater levels of productivity”.

In addition, “this paper discusses the role that employee training has as a link between HR practices and performance management. Specifically, as the average performance evaluation rating of employees improved (from 3.00 to 4.50), this is indicative of employees being assisted by improved or enhanced employee capabilities as a result of taking part in structured employee training programmes”. Thus, organisations will find that employee training is not merely an auxiliary function but is instead an essential element of an overall HR strategy.

Finally,“ performance management enhances employee motivation, whereby as the average level of employee motivation increased (from 3.10 to 4.70), employees responded positively to the organisation performance management process (i.e., implementing regular feedback, providing recognition, and setting goals facilitated employee feelings of accomplishment and satisfaction)”.

[13]–[15].

6. Conclusion and Future

Scope 6.1 Conclusion

“According to this study, the impact of HR policies on employee performance at MSMEs is positively significant. Structured HR practices improve training and development, strengthen performance management and motivate employees, resulting in enhanced employee performance and improved organizational outcomes. The results of a value-based analysis, which showed an increasing trend in performance as motivation increased from 3.2 to 4.8, support these findings. Overall, HR policies play a major role in increasing productivity and promoting long-term sustainability of MSMEs”

6.2 Future Scope

“Future research could collect and analyze real-world data collected from small and medium enterprises (MSME's) to validate the development of a statistically embraced model established within this body of work. Future studies will also examine the relationship between digital human resource (HR) system, organizational

culture, and leadership methods on improving employee effectiveness. Comparative research between various sectors and countries can provide greater depth of knowledge regarding HR best practices"

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